

Anuj Dhamija vs Hira Singh on 30 May, 2026

IN THE COURT OF MS. JAYANTI CHANDER,
JUDICIAL MAGISTRATE FIRST CLASS (NI ACT) - 07,
SOUTH DISTRICT, SAKET COURTS, NEW DELHI.

1 Complaint Case Number	:	CC. Case No. 19416/19
2 Name & Address of Complainant	:	Sh. Anuj Dhamija S/o Sh. R. K. Dhamija R/o- G-13, Gaurav Apts, Saket, New Delhi - 110019.
3 Name & Address of Accused	:	Sh. Hira Singh S/o- Jasmel Singh R/o- 1435 A-13, Govind Puri, New Delhi - 110019.
4 Offence complained of	:	Section 138 r/w142, Negotiable Instruments Act 1881
5 Plea of guilt	:	Pleaded not guilty
6 Date of institution	:	31.07.2019
7 Date on which case was reserved for judgment	:	18.05.2026
8 Date of judgment	:	30.05.2026
9. Decision	:	Acquittal

JUDGMENT

1. Vide this judgment, this court shall dispose of the aforementioned complaint case filed by the complainant Sh. Anuj Dhamija against the accused, namely Sh. Hira Singh in respect of the dishonor of cheque bearing number 216801 dated 06.06.2019 for an amount of Rs. 36,00,000/- (Rupees Thirty six lakhs) drawn Jayanti chander Anuj Dhamija Vs. Hira Singh 1 of 12 by Jayanti on Corporation Bank, Neb Sarai Branch, New Delhi (here and after referred to as the "cheque in question").

BRIEF FACTS OF THE CASE

2. Succinctly, it is the case of the complainant that the accused represented to have a property situated at Greater Noida and proposed to sell the same. The complainant agreed to purchase the said property and executed an agreement to sell dated 06.03.2014 and paid Rs. 18 lakhs to the accused. The accused allegedly represented that the property was under construction, which was

being delayed by the builder and could not transfer the property in the name of the complainant. Due to the delay, the complainant approached the accused to refund the aforesaid amount. However, the accused wanted to settle the dispute and executed a mutual agreement as per which a cheque bearing number 216801 of Rs 36 lakhs was issued in favour of the complainant as full and final payment of money received against the proposed sale of the aforesaid property.

3. On presentment upon the assurance of the accused, the cheque in question was returned with remarks "funds insufficient" vide returning memo dated 07.06.2019 exhibited as Ex. CW1/4. Thereafter, complainant sent a notice of demand dated 13.06.2016 Ex. CW1/6 (colly) calling upon the accused to pay the cheque amount within 15 days. The postal receipt Ex. CW1/6 (colly) and tracking report is Ex. CW1/7 (colly) respectively. The tracking report confirmed delivery on the alleged address of accused on 15.06.2019. The courier receipt and courier tracking is Jayanti exhibited as Ex CW1/8(colly). It is further stated that despite chander CC Cases 19416/2019 by Jayanti Anuj Dhamija Vs. Hira Singh 2 of 12 chander Date: 2026.05.30 17:03:26 +0530 service of legal notice, the accused failed to make the payment, hence, the complainant moved to the court with the present complaint under section 138 of the Negotiable Instruments Act, 1881, (here in after referred to as the "NI Act"). The Complainant has placed on record agreement to Sell, exhibited as Ex CW 1/1, Memorandum of Settlement exhibited as Ex CW 1/2 end cheque in question exhibited as Ex CW1/3.

4. Upon prima facie consideration of the per- summoning evidence, the accused was summoned vide order dated 11.09.2024 and directed to furnish bail bond and surety bond.

5. Upon the appearance of the accused, notice under section 251, Code of Criminal Procedure 1973 (hereinafter referred to as "CrPC") was framed on 08.04.2022 to which the accused pleaded not guilty. The accused stated Mr. Manish Arora introduced him to the complainant and that two cheques were issued to the complainant as security for borrowing a loan of Rs 10 lakhs from the complainant. The accused admitted his signatures on the cheque in question. The accused stated that Rs 3 lakhs were returned along with interest to the complainant. The accused further stated that he is willing to pay the remaining amount of Rs 7 lakhs to the complainant and that the original builder-buyer agreement is in the possession of the complainant. The accused also stated that there is one more check bounce case pending against him in Shahjahanpur.

COMPLAINANT EVIDENCE

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6. The accused was allowed to cross-examine the complainant witnesses vide order dated 08.04.2022, the Complainant stepped in witness box as CW-1 and adopted his affidavit of pre-summoning as his evidence reiterating almost all facts of complaint, stating all exhibits. Thereafter, CW-1 was cross-examined by the counsel for the accused. In his cross- examination,

CW-1 deposed that Commission was agreed to be paid to Mr. Manish for the successful completion of the deal. CW1 identified the signatures of witness number 1 on the agreement to sell, Exhibit CW1/1, to be of Sh. Siddharth CS. CW1 admitted that the agreement to sell was not registered and no date was mentioned on the same. CW1 deposed that he orally followed up with the accused and did not issue any notice in writing during the 30-day period for execution of the Sale deed from the date of execution of the agreement to sell Ex CW1/1. CW1 deposed that the amount of Rs 17 lakhs belonged to his family, including his parents, sister, and himself. The accused showed the documents of booking or allotment of the flat in his name from the builder. CW1 deposed that he entered into another sale-purchase transaction apart from the present transaction. CW-1 denied all the suggestions put up to him.

7. Complainant closed his evidence vide his separate statement dated 14.08.2024 and thereafter, matter was fixed for recording of statement of accused.

STATEMENT UNDER SECTION 313 CRPC

8. On 03.09.2024 the statement of the accused under Jayanti chander section 313, CrPC, read with section 281 CrPC was recorded CC Cases 19416/2019 by Jayanti Anuj Dhamija Vs. Hira Singh 4 of 12 Date: 2026.05.30 17:03:35 +0530 wherein the entire incriminating evidence was put to him. In response, the accused reiterated the defence taken in the notice framed under section 251, CrPC. Additionally, the accused stated that he did not receive an amount of Rs. 18 lakhs from the complainant and did not enter into any agreement to sell with the complainant. The complainant made the accused sign on blank papers and hand over two security cheques. The accused also denied entering into any settlement with the complainant for an amount of Rs 36 lakhs. The accused stated that he received the legal notice from the complainant. The accused stated that a loan of Rs. 10 lakhs at the interest of 1% per month was borrowed from the complainant for personal needs. The accused stated that Rs 9 lakhs were given in cash and 1 lakh by cheque to him.

DEFENCE EVIDENCE

9. The accused choose to lead evidence in defence and the application u/s 315 Cr.PC was allowed on 10.12.2025. DW-1 Sh. B.N. Srivastava, Handwriting and Fingerprint Expert deposed that he has a work experience of more than 50 years. On detailed examination, a conclusion has been drawn that the typing has been done on pre-existing signatures on the second page of Exhibit DW 1/A (colly). Thereafter, defence evidence was closed vide statement dated 17.03.2026.

FINAL ARGUMENTS

10. The case was listed for final arguments on 24.03.2026. However, the final arguments were not advanced on 24.03.2026, 09.04.2026 and on 06.05.2026 adjournment was Jayanti sought. Subsequently, opportunity was given to both the parties to chander CC Cases 19416/2019 Digitally signed by Anuj Dhamija Vs. Hira Singh 5 of 12 Jayanti chander Date: 2026.05.30 17:03:39 +0530 submit written submissions on 06.05.2026. However, written submissions were not filed on 18.05.2026 and the case was reserved for pronouncement of judgment on 30.05.2026.

12. Rival submissions have been considered and record of the case has been perused.

INGREDIENTS OF OFFENCE UNDER SECTION 138 NI ACT

13. Before delving into the factual matrix of the present case, it is significant to underpin the essential ingredients to be established in order to attract the liability under section 138, NI Act as follows:

(i) The accused issued a cheque on an account maintained by him with a bank.

(ii) The said cheque has been issued in discharge, in whole or in part, of any legal debt or other liability, which is legally enforceable.

(iii) The said cheque has been presented to the bank within a period of three months from the date of cheque or within the period of its validity.

(iv) The cheque in question, when presented for encashment, was returned unpaid.

(v) The payee of the cheque issued a legal notice of demand to the drawer within 30 days from the receipt of information by him from the bank regarding the return of the cheque.

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(vi) The drawer of the cheque failed to make the payment within 15 days of the receipt of aforesaid legal notice of demand.

APPRECIATION OF EVIDENCE

14. The accused can be held guilty of the offence under Section 138 NI Act only if the above-mentioned ingredients are proved by the complainant co-extensively. Moreover, conditions stipulated under Section 142 NI Act have to be fulfilled in addition to above-mentioned ingredients.

WITH RESPECT TO FIRST, THIRD AND FOURTH INGREDIENT

15. The Complainant has adduced by way of documentary evidence the original cheque Ex CW1/3 and the return memo Ex CW1/4 mentioning reason of dishonor as "funds insufficient". The accused has admitted his signatures on the cheque in question. The accused stated in his statement u/s 251 Cr.PC that the cheque in question was signed as a security for borrowing loan of Rs 10 lakhs from the complainant. The above said documentary evidence and the admission of signatures by the accused establish the relevant ingredients of the offence. Hence, first, third and fourth ingredients stands proved.

WITH RESPECT TO FIFTH AND SIXTH INGREDIENT

16. The perusal of postal receipts Ex. CW1/4 and track- ing report Ex CW1/7 reveal that legal demand notice was deliv- ered on the address admitted by the accused to be his correct ad- dress on 23.12.2023. Furthermore, the accused has admitted the Jayanti chander CC Cases 19416/2019 Digitally signed by Jayanti chander Anuj Dhamija Vs. Hira Singh 7 of 12 Date: 2026.05.30 17:03:48 +0530 receipt of legal notice in his statement under Section 313 CrPC. The court finds that there is no proof of repayment of the alleged outstanding legal liability proved by the accused. Hence, fifth and sixth ingredient also stand fulfilled.

WITH RESPECT TO SECOND INGREDIENT

17. As per the scheme of NI Act and recent precedents, once the accused admits signature on the cheque in question, presumption of law under section 139 of the Act shall be drawn. In the recent judgment, Kalamani Tex v. P. Balasubramaniyan,¹ the larger bench of the Hon'ble Supreme Court, held that:

"U/s 118 & 139, once issuance of cheque and signature admitted, it is required to presume that the cheque was issued as consideration for a legally enforceable debt."

The same was re-iterated in the case of Hiten P. Dalal vs. Bratindranath Banerjee.²

18. In the present case the accused has admitted his signatures on the cheque in question. Thus, the ingredients of offence u/s 138 NI Act are presumed u/s 139 NI Act. To discharge the evidentiary onus of proof under section 102, IEA, the accused may rely on the complainant evidence to rebut the existence of legally enforceable debt as was enunciated in the case of Rangappa Vs. Sri Mohan³. However, the evidence should create doubt to the standard of preponderance of probabilities.

(2021) 5 SCC 283.

Jayanti (2001) 6 SCC 16. chander (2010) 11 SCC 441.

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19. The case was listed for final arguments on 24.03.2026. However, the final arguments were not advanced on 24.03.2026, 09.04.2026 and on 06.05.2026 adjournment was sought. Subsequently, opportunity was given to both the parties to submit written submissions on 06.05.2026. However, written submissions were not filed on 18.05.2026 and the case was reserved for pronouncement of judgment on 30.05.2026.

21. The perusal of the original cheque CW1/3 and return memo CW1/4, the agreement to sell Ex CW1/1 and the memorandum of settlement Ex CW1/2 are documentary proofs in support of the

version of the complainant. The agreement to sell, Exhibit CW1/1, reveals that an amount of Rs 18,15,000/- was to be paid by the complainant to the accused out of which rupees 18 lakhs were paid by the Complainant to the accused as advance. An amount of Rs. 17 lakhs were paid in cash and Rs 1 lakh was paid by way of cheque bearing no. 866237, dated 6.03.2014, drawn on HDFC. The accused has stated in his statement under section 313, CrPC that signature on blank sheets and two blank signed cheques including the cheque in question were obtained from him as security for a loan of Rs 10 lakhs borrowed from the Complainant. The accused also stated that Rs 3 lakhs were repaid and he is willing to repay the remaining Rs 7 lakhs to the Complainant. DW-1, Sh. B.N. Srivastava deposed that he observed that the words "FIRST PARTY" have been printed on the paper subsequent to the putting of the signature at point A on the second page of the agreement to sell Ex CW1/1. Jayanti chander CC Cases 19416/2019 by Jayanti Anuj Dhamija Vs. Hira Singh 9 of 12 Date: 2026.05.30 17:03:57 +0530

22. The Court finds that the agreement to sell Ex CW1/1 is a material document from which the cause of action of outstanding legal liability arise. The genuineness of Ex CW1/1 is a core issue that would point towards the existence of legally enforceable debt in the case. CW-1 admitted that the agreement sell is neither dated nor registered. CW-1 deposed that he does not remember the persons who signed as witness to the abovesaid document. The expert evidence, though of feeble value, has surfaced out that the signature of accused at point B of Ex CW1/1 were put first and then the words "FIRST PARTY" were printed on it. This observation is significant to infer that the accused put his signature on a blank document as is contended by the accused. This corroborates the version of the accused that blank signed papers and blank signed cheques in question were given by him to the accused.

23. The accused has adduced evidence in support of his version that impeaches the version of the Complainant regarding the alleged sale transaction. The memorandum of settlement Ex CW1/2 flows from the agreement to sell Ex CW1/1. The memorandum of settlement Ex CW1/2 does not bear any over writing and the signatures are present below the typed content. Thus, there is a cloud on the genuineness of the alleged transaction. It is pertinent to note that the details of the cheque number and date have been filled in ink and not typed. There is no explanation given by the Complainant for the same. Once the accused has disproved the version of complainant and existence of the outstanding legal liability to the standard of preponderance of Jayanti chander probabilities, the burden of proof shifts on the Complainant to CC Cases 19416/2019 by Jayanti Anuj Dhamija Vs. Hira Singh 10 of 12 Date: 2026.05.30 17:04:01 +0530 prove his case beyond reasonable doubt. The Complainant has not adduced any cogent evidence for the same.

24. It is pertinent to note that the CW-1 has deposed that Rs 17 lakhs were paid in cash to the accused. The agreement mentions that an amount of Rs 1 lakh was paid by way of cheque. However, neither the proof of encashment of the cheque is placed on record nor the handing over of the Rs 17 lakhs is proved by the Complainant. Furthermore, the circumstances of the issuance of the cheque in question and execution of the agreement to sell has not been proved by the Complainant by examination of independent witness or otherwise. The Complainant has not adduced any documentary evidence to show that he is the owner of the property. Also, the Complainant has not adduced ITR to show his financial capacity or transaction of Rs 17 lakhs in cash.

25. Since a probable defence is raised regarding proof of the financial capacity, existence of the outstanding legal liability and due issuance of the cheque in question from the accused to the Complainant, the burden shifts on the Complainant to prove his case beyond reasonable doubt. The Complainant has failed to do the same. Therefore, version of complainant is not proved beyond reasonable doubt.

CONCLUSION

26. This court finds that the accused has raised a probable defence and the Complainant has not been able to discharge the burden of proving the essential ingredients of offence under Jayanti Section 138 of NI Act as per law. Accordingly, the offence under chander Anuj Dhamija Vs. Hira Singh 11 of 12 17:04:06 +0530 Section 138 of the Negotiable Instruments Act, 1881 remains 'not proved'.

27. Accordingly, the accused Sh. Hira Lal is convicted of the offence under Section 138 of the Negotiable Instruments Act, 1881.

28. This judgment contains 12 pages and each page has been signed by the undersigned.

Digitally Announced in open Court on 30.05.2026. signed by Jayanti Jayanti chander chander Date:

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